

Rescue Act

A stellar show from the BFSI segment has saved India Inc. the blushes in the second quarter of FY23

BY RAHUL OBEROI

► **INDIA INC. POSTED** financial results for the quarter ended September 2022 largely in line with expectations. Earnings growth in Q2FY23 was led by BFSI (banking, financial services and insurance), automobiles and telecom players, while sectors such as metals, oil and gas, and select cement and consumer durables firms dragged down the overall growth of the Nifty 50 companies. The combined consolidated net profit of all the Nifty 50 firms retreated 1.45 per cent year-on-year (YoY) to ₹1.49 lakh crore during the quarter under review. But if we exclude BFSI, then the profit in Q2FY23 stands at ₹92,753 crore—a decline of 16.80 per cent. On the other hand, gross sales (ex-BFSI) jumped 27.76 per cent to ₹13.68 crore.

24 | According to V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services, the Q2 results are broadly in line with expectations. “The banking sector posted the best results assisted by impressive credit growth, rising interest rates and significantly improving asset quality,” he says.

The 11 BFSI players that are part of the benchmark

equity index together reported consolidated net profit of ₹56,506.81 crore in Q2FY23, up 41 per cent YoY. The consolidated net profit of Bajaj Finance grew the most—87.76 per cent YoY to ₹2,780.65 crore. It was followed by State Bank of India (65.94 per cent) and Axis Bank (65.67 per cent).

The second-best performance came from the auto sector. And it was all thanks to Maruti Suzuki India that managed to post a 333.87 per cent rise in its net profit due to a 47.90 per cent increase in gross sales. The net profit of the top carmaker jumped to ₹2,112.50 in Q2FY23 from ₹486.90 crore a year ago. Eicher Motors and Mahindra & Mahindra also reported 76 per cent and 43.77 per cent growth in bottom line, respectively, during the September quarter.

The consolidated net loss of Tata Motors narrowed to ₹944.61 crore in Q2FY23 from ₹4,441.57 crore a year ago. In contrast, the net profit of Bajaj Auto and Hero MotoCorp declined 15.71 per cent and 7.68 per cent, respectively, on a YoY basis.

“The auto sector posted good numbers in Q2FY23. Original equipment manufacturers increased

THE COMBINED CONSOLIDATED NET PROFIT OF ALL THE NIFTY 50 FIRMS RETREATED 1.45 PER CENT YEAR-ON-YEAR TO ₹1.49 LAKH CRORE IN Q2FY23

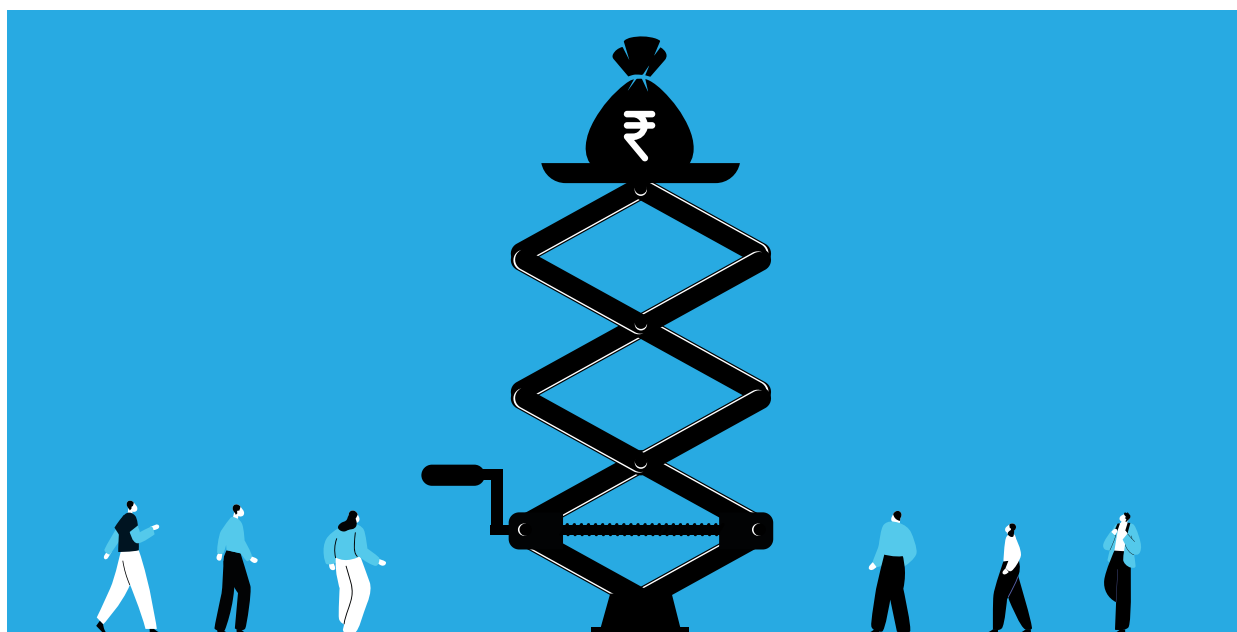


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